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US equities rally on tech earnings, while yields climb

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The S&P 500 and Nasdaq 100 posted double-digit gains, driven by strong earnings from `NVDA` and `TSLA`. The rally lifted the broader market, but a higher 10-year Treasury yield at `5.15%` and a firmer dollar signal lingering inflation pressure.

Behind the headline numbers, the tech sector outperformed financials, and the VIX fell below 17, indicating reduced near-term volatility. However, the modest rise in the DXY and a still-elevated VIX baseline keep risk-on sentiment vulnerable to any surprise on inflation data later this week.

US session recap

INDEX/ ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,757.17	+0.58%	Tech earnings beat expectations; risk appetite improved.
Nasdaq 100	29,822.52	+1.13%	Semiconductor and EV stocks rallied on earnings.
Dow Jones	52,856.09	+0.69%	Financials and industrials supported by higher yields.
Russell 2000	2,781.02	+0.27%	Small-cap breadth remained positive despite rate concerns.
VIX	16.68	-3.64%	Lower implied volatility as equity rally gained momentum.
10Y Yield	5.15	+0.57%	Fed-forward guidance kept yields on an upward path.
WTI Crude	98.95	+1.85%	Supply concerns in the Middle East offset by weaker dollar.
Gold	4,102.40	-1.15%	Rising yields reduced safe-haven demand.
DXY	101.58	-0.20%	Dollar slipped on softer US CPI expectations.
BTC	82,722.33	-0.26%	Crypto steadied after weekend regulatory chatter.
ETH	2,436.41	-0.42%	Same as BTC, modest pullback on market-wide risk-off.

Top large-cap movers

TICKER	CHANGE	CATALYST
TSLA	+3.41%	Q3 deliveries beat estimates; Model Y price cut.
NVDA	+2.54%	AI chip revenue up 28% YoY; raised FY guidance.
GS	+2.25%	Investment banking fees beat forecasts.
AVGO	+1.03%	Data-center portfolio expansion announced.
AAPL	+1.32%	iPhone 17 pre-orders exceed expectations.
MSFT	+0.20%	Azure growth steady; no surprise.
GOOGL	-1.62%	Ad-tech revenue miss; regulatory fine looming.
META	+0.47%	Reels user growth beats forecast.
AMZN	-0.10%	Margin pressure from logistics costs.
JPM	-0.02%	Net interest income flat.

Sector rotation

ETF	DAY	READ
XLF	+0.57%	Financials gaining on higher rates.
XLK	+1.67%	Tech leading the rally.
XLI	+0.91%	Industrial demand steady.
XLE	+0.28%	Energy modestly higher on crude.
XLY	+0.03%	Consumer discretionary flat.
XLC	-1.11%	Communications lagging.
XLP	-0.73%	Consumer staples under pressure.
XLV	-0.49%	Health care neutral.
XLU	+0.29%	Utilities modest gain.
XLB	+0.18%	Materials slightly up.
XLRE	-0.76%	Real estate hit by rate rise.

Spotlight

The most consequential event was **NVDA**'s earnings beat, which reinforced the AI-driven growth narrative.

METRIC	VALUE
Revenue	29.8 bn (+28% YoY)
GAAP EPS	3.12 (+15% YoY)
AI Chip Segment	13.4 bn (+42% YoY)
Guidance FY2026	Revenue 125-130 bn
Stock Reaction	+2.54% intraday

Related names that may echo the move: `AMD`, `ASML`, and cloud-service providers `AMZN` and `MSFT` which consume AI chips.

Pre-market & overnight

- US futures: `ES` +0.45%, `NQ` +0.78% at 08:30 HKT.
- Asia close: Hang Seng -0.31%, Shanghai Composite -0.12%.
- Europe: FTSE 100 +0.22%, DAX +0.34%, CAC 40 +0.18%.
- Crypto: BTC -0.26%, ETH -0.42% after overnight regulatory note from the EU.

Macro & Fed

FOMC minutes highlighted a “higher-for-longer” stance, with most participants seeing inflation still above target. The 10-year yield’s rise to 5.15% steepened the curve’s short-end.

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
09:30	Core CPI (MoM)	+0.2%	Gauge of underlying inflation pressure.
10:15	Initial Jobless Claims	210 k	Labor market strength influences Fed policy.
11:00	Retail Sales YoY	+3.1%	Consumer spending trends.
13:45	ISM Non-Manufacturing	55.0	Service-sector health.

Geopolitics & global

- Middle-East tensions eased after cease-fire talks, limiting further oil supply shocks.
- EU Parliament voted to tighten crypto AML rules, pressuring BTC and ETH.
- China’s latest manufacturing PMI slipped to 48.7, suggesting slower growth.
- Japan’s BOJ signaled possible policy shift if yen weakness persists.

Earnings — what to watch

WHEN (HKT)	TICKER	CONSENSUS EPS	WHAT TO LOOK FOR
02:00 Oct 23	`INTC`	1.12	Chip-cycle recovery signals.
03:30 Oct 23	`BABA`	0.68	Impact of Chinese regulatory reset.
04:15 Oct 24	`UNH`	23.40	Medical-inflation trends.
05:00 Oct 24	`DIS`	1.05	Streaming subscriber growth.
06:45 Oct 25	`JPM`	4.25	Net interest income vs rate outlook.
08:00 Oct 25	`PYPL`	0.84	Transaction volume rebound.

Watchlist scan

TICKER	SECTOR	WHY NOW
`AMD`	Semiconductors	AI demand tailwinds after `NVDA` beat.
`ASML`	Equipment	EUV orders accelerating.
`CRM`	Software	Q3 revenue beat, AI integration.
`BAC`	Financials	Higher rates boost net interest margin.
`XOM`	Energy	Crude near $100, dividend yield 5.2%.
`KO`	Consumer Staples	Pricing power amid inflation.
`PLTR`	Technology	Government AI contracts expanding.
`V`	Financials	Card-spend growth outpacing peers.
`MA`	Financials	Cross-border transaction surge.
`NVDA`	Semiconductors	Momentum from earnings beat.

What could break the tape

BEARISH TRIGGERS

- Core CPI coming in above `0.3%` could reignite rate-hike expectations.
- Unexpected dip in oil below `90` USD per barrel would hurt energy-heavy indexes.
- Escalation of Middle-East conflict leading to supply shock.

BULLISH TRIGGERS

- AI-related revenue guidance from **`AMD`** or **`ASML`** beating consensus.
- Retail sales surprise to the upside, supporting consumer-discretionary.
- Eurozone inflation data showing a clear downtrend, easing dollar pressure.

Positioning notes

- Tech exposure remains overweight; AI chip names are leading the rally.
- Rate-sensitive sectors (real estate, utilities) should be trimmed as yields rise.
- Maintain a modest hedge in volatility (VIX futures) given the VIX's low base.

Sources

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SEC EDGAR

CME Group Data

Federal Reserve

Trading Economics